

Practice Quiz — Launching and Scaling

Part A: Multiple Choice

1. In Active Inference, early go-to-market actions should typically prioritize:

A) Maximum revenue generation to fund scaling B) Epistemic value — learning whether the market responds as predicted C) Competitor disruption through aggressive pricing D) Brand building through extensive advertising

1. Tesla's "production hell" with the Model 3 resulted from:

A) Insufficient demand for the product B) Scaling manufacturing before the production generative model was sufficiently validated C) Competitors sabotaging Tesla's supply chain D) Government regulations limiting production capacity

1. Zara's fast fashion model is strategically advantageous because:

A) It produces clothing at the lowest possible cost per unit B) It minimizes the latency between prediction error detection and corrective action through rapid iteration C) It uses the most advanced manufacturing technology D) It eliminates the need for fashion designers

1. Freemium pricing in software (e.g., Spotify, Slack) is an Active Inference strategy because:

A) It maximizes the number of paying customers B) The free tier reduces customer uncertainty about value (epistemic action) while the paid tier captures value (pragmatic action) C) It eliminates competition from paid alternatives D) It satisfies regulatory requirements for free trials

1. PayPal's niche pioneer strategy of targeting eBay power sellers was effective because:

A) eBay power sellers were the most profitable customer segment B) The niche had intense pain, high frequency of use, and manageable scope, enabling dominance before expansion C) eBay required all sellers to use PayPal D) The niche was too small for competitors to notice

1. Price signals to multiple stakeholders simultaneously. A price that is too low can:

A) Only benefit the company through high volume B) Increase customer free energy by signaling low quality while decreasing investor confidence in value capture C) Attract the wrong type of customers D) Have no negative consequences as long as it covers costs

1. A "positive prediction error" at launch means:

A) The product fails to meet customer expectations B) The product exceeds the expectations created by pre-launch communication C) The product generates media controversy D) The product's price is higher than competitors

Part B: Short Answer and Analysis

1. Compare the launch strategies of Dollar Shave Club (viral video for \$4,500) and Segway (massive media hype). For each, analyze: (a) what prediction the launch action generated in customer models, (b) whether the actual product experience confirmed or disconfirmed that prediction, and (c) the consequences for adoption.
2. You are launching a new health monitoring wearable. Design a pricing strategy that addresses four stakeholders: health-conscious consumers, health insurance companies, healthcare providers, and retail distributors. Specify the price point, pricing model, and explain how this configuration reduces free energy for each stakeholder type.
3. Your invention has achieved strong adoption in the US market and you are planning to launch in Japan. Identify three aspects of your launch strategy that must change (and why) and two aspects that can remain the same (and why). Frame your analysis in terms of different generative models held by Japanese consumers, regulators, and distribution partners.